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COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

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CHAPTER XV UNDER THE INCOME TAX ACT 2025

Section 263 to 265 - Return of Income

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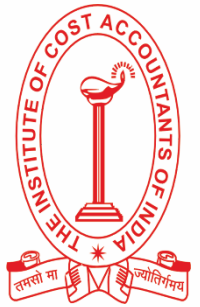


Chapter XV, b. Filing of Return of Income

Return of income.

263. (1)(a) Every person as mentioned below shall, for a tax year, on or before the due date, furnish a return of his income or the income of any other person in respect of which he is assessable during the said tax year:-

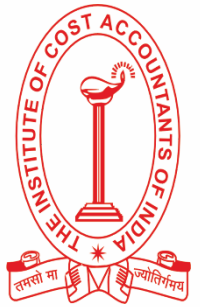
- (i) a company;
- (ii) a firm;
- (iii) a person other than a company or a firm, if his total income or the total income of any other person in respect of which he is assessable under this Act during the tax year, without giving effect to the provisions of Chapter XVII-B or provisions of Schedule VIII (Table: Sl. No. 1) or deductions allowable under section 82 or 83 or 84 or 85 or 86 or 87 or 88 of Chapter IV-E or Chapter VIII, as the case may be, exceeded the maximum amount which is not chargeable to income-tax;
- (iv) a specified entity, if its total income without giving effect to the provisions of section 11 exceeds the maximum amount which is not chargeable to income-tax;



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- (v) a University, college or other institution as referred to in section 45(3) (a);
- (vi) a business trust;
- (vii) an investment fund as referred to in section 224;
- (viii) a person who has sustained a loss in the tax year under the head "Profits and who intends to claim that such loss, or any part thereof, is to be and gains of business or profession or under the head "Capital gain carried forward as per this Act:
- (ix) a person, who is a resident, other than not ordinarily resident, and who at any time during the tax year-
(A) holds, as a beneficial owner or otherwise, any asset (including any financial interest in an entity) located outside India, or has signing authority in any account located outside India; or
(B) is a beneficiary of any asset (including any financial interest in an entity) located outside India, except where any income arising from such asset is includible in the income of person referred to in item (A):
- (x) a person, other than a company or firm, who during the tax year, fulfils such conditions as may be prescribed:

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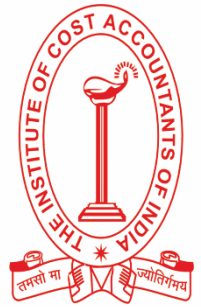
(b) the persons referred in clauses (a)(i), (a)(ii), (a)(v), (a)(vi), (a)(vii) and (a)(x) shall furnish return on or before the due date regardless of income or loss;

(c) for the purposes of this section, "due date" means the date of the financial year succeeding the relevant tax year as mentioned in the corresponding entry of column C of the Table below in respect of the persons mentioned in column B of the said **Table**:

Tax Year Section 3 sub section (1) implies the year in which the person earns income or liable for assessment for that particular person or for any other person. Year implies the twelve consecutive months starting from 1st April of any calendar year and ending on 31st march of the immediate succeeding calendar year

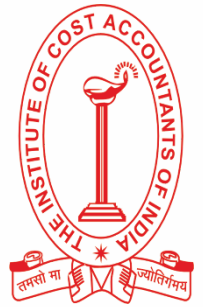
Sub Section 2 implies in case of a business or profession newly set up, or a source of income newly coming into existence in any financial year, the tax year shall be the period beginning with ----

- (a) the date of setting up of such business or profession
- (b) the date on which such source of income newly comes into existence, and ending with the said Financial year.



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Sl. No.	Person	Due date
A	B	C
1	Assessee, including the partners of the firm or the spouse of such partner (if section 10 applies to such spouse), who is required to be furnished a report referred to in section 172.	30 th Nov
2	Company (in cases other than those mentioned in Sl. No. 1).	31 st October
3	Person (other than a company) whose accounts are required to be audited under this Act or under any other law in force (in cases other than those mentioned in Sl. No. 1).	31 st October
4	Partner of a firm whose accounts are required to be audited under this Act or under any other law in force; or the spouse of such partner (if section 10 applies to such spouse) (in cases other than those mentioned in Sl. No.1).	31 st October
5	Any other assessee	31 st July

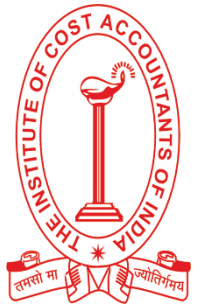


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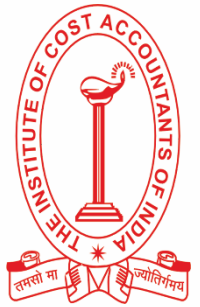
(2)(a) The Board may prescribe form for furnishing return of income, manner of its verification and such other particulars including ---

- i) the class or classes of persons who shall be required to furnish the return in electronic form or otherwise;
- (ii) the form and the manner in which the return may be furnished, whether in electronic form or otherwise;
- (iii) the documents, statements, receipts, certificates, audited reports or any other documents which may not be furnished along with the return in electronic form but shall be produced before the Assessing Officer on demand;
- (iv) the computer resource or the electronic record to which the return in electronic form may be transmitted;
- (b) the particulars prescribed under clause (a) may also include-
 - (i) income exempt from tax;
 - (ii) assets of the prescribed nature and value held by the assessee as a beneficial owner or otherwise or in which he is a beneficiary;



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- ((iii) bank account and credit card held by the assessee;
- (iv) expenditure exceeding the prescribed limit incurred by the assessee under prescribed heads;
- (v) such other outgoings as may be prescribed;
- (vi) the report of any audit referred to in section 63 or a copy thereof;
- (vii) the particulars of the location and style of the principal place of the business or profession and all the branches thereof;
- (viii) the names and addresses of the partners, if any, in the business or profession;
- (ix) the names of the other members of the association of person or the body of individuals and the extent of the share of the assessee and the shares of all such members in the profits of the business or profession and any branches thereof.



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(3) The Central Government may, by notification, exempt any class or classes of persons, from the obligation to file a return of income under this section, subject to the conditions specified therein.

Belated Return

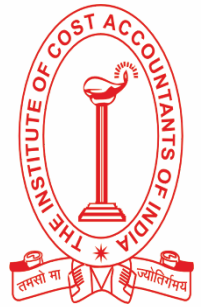
(4) Any person who has not furnished a return within the time allowed to him under sub-section (1), may furnish the return for any tax year at any time within nine months from the end of the relevant tax year, or before the completion of the assessment, whichever is earlier.

Hence Belated Return shall be filled within 31st day of December just after ending the Tax year.

For example for the Tax year 2026-27, the last date of the Tax Year is 31st March 2027 and the last date of filing Belated Return is 31.12.2027

Revised Return

(5) If any person, having furnished a return under sub-section (1) or sub-section (4), discovers any omission or any wrong statement therein, he may furnish a re-vised return at any time within nine months from the end of the relevant tax year, or before the completion of the assessment, whichever is earlier.



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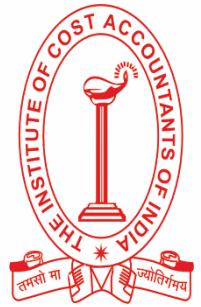
Hence Revised Return shall be filled within 31st day of December just after ending the Tax year which is the exactly the same date as specified for the Belated Return

For example for the Tax year 2026-27, the last date of the Tax Year is 31st March 2027 and the last date of filing Revised Return is 31.12.2027

Section 263(6) Power vested for filing Return of Income after 31st December i.e. after nine months from the last date of the Tax Year i.e. Updated Return relevant Provision also made in Section 267

6)(a) Any person, whether or not he has furnished a return under sub-section (1) or (4) or (5) for a tax year, may furnish an updated return of his income or the income of any other person in respect of which he is assessable under this Act, at any time within forty-eight months from the end of the financial year succeeding the relevant tax year,

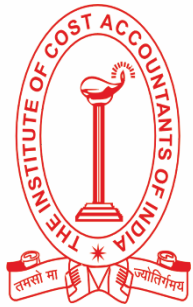
(b) the provisions of clause (a) shall continue to apply for a tax year if any person has sustained a loss in the said tax year and has furnished a return of loss within the due date specified under sub-section (1) and the updated return is a return of income.



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- (c) the provisions of clause (a) shall not apply for a tax year for any person, if
- (i) the updated return is a return of loss for the said tax year, or
 - (ii) the updated return has the effect of decreasing the total tax liability determined on the basis of return furnished under sub-section (1) or (4) or (5) for the said tax year, or
 - (iii) the updated return results in refund where no refund was due or increases the refund due on the basis of return furnished under sub-section (1) or (4) or (5) for the said tax year, or
 - (iv) an updated return has already been furnished for the said tax year, or
 - (v) any proceeding for assessment or reassessment or recomputation or revision of income under this Act is pending or has been completed for the said tax year, or
 - (vi) the Assessing Officer is in the possession of information in respect of such person for the said tax year regarding violation of specified laws and the same has been communicated to him prior to the date of furnishing of updated return; or

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(vii) information for the said tax year has been received under an agreement referred to in section 90 or 90A of Income-tax Act, 1961 (43 of 1961) or section 159 of this Act in respect of such person and the same has been communicated to him, prior to the date of furnishing of updated return; or

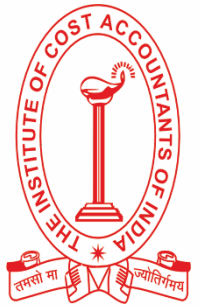
(viii) any prosecution proceedings under the Chapter XXII have been initiated for the said tax year in respect of such person, prior to the date of furnishing of updated return; or

(ix) thirty-six months have expired from the end of the financial year succeeding the relevant tax year, and any notice to show-cause under section 281 has been issued in his case, except where an order has been passed under section 281(3) determining that it is not a fit case to issue notice under section 280; or

(x) he is such person or belongs to such class of persons, as may be notified by the Board in this regard;

(d) a person shall also not be eligible to furnish an updated return of income. where-

(i) a search has been initiated under section 247 or books of account or other documents or any assets are requisitioned under section 248 in the case of that person; or



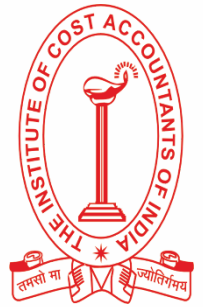
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(ii) a survey has been conducted under section 253, other than sub-section (4) of the said section, in the case of that person; or

(iii) a notice has been issued under section 294 in pursuance to the provisions of section 295, to that person, for the tax year in which such search is initiated or survey is conducted or requisition is made and any tax year preceding such tax year,

(e) if a person has furnished a return of income under clause (a) for a tax year, and as a result the loss or any part thereof carried forward under Chapter VII or un-absorbed depreciation carried forward under section 33(3)(b) or tax credit carried forward under sections 206(1)(m) to (p) and 206(2)(e) to (h) is to be reduced for any subsequent tax year, then, an updated return shall be furnished for each such subsequent tax year.

(7) A return of income furnished under this section, shall be treated as defective if it is not in conformity with all the conditions as may be prescribed and shall be dealt with in the following manner:-



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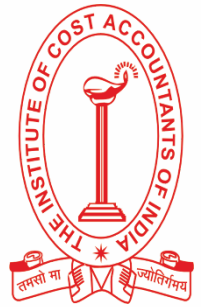
where the Assessing Officer considers that the return of income furnished by the assessee is defective, he may intimate the defect to the assessee and give him an opportunity to rectify the defect within fifteen days from the date of such intimation or within a further period as may be allowed on an application made by the assessee in this behalf;

(b) if the defect is not rectified within the period allowed under clause (a), then the return shall be treated as an invalid return and the provisions of this Act shall apply as if the assessee had failed to furnish the return;

(c) where the assessee rectifies the defect after the expiry of the period allowed under clause (a), but before the assessment is made, the Assessing Officer may condone the delay and treat the return as a valid return.

(8)(a) The provisions of this section shall also apply to a return of income which is furnished in pursuance of an order passed under section 239(3)(b);

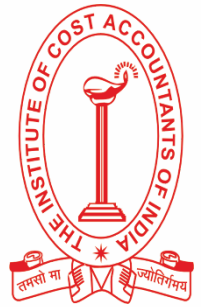
(b) the provisions of this section shall not apply to a specified senior citizen, as referred to in section 402(39), for the relevant tax year in which tax has been deducted at source under section 393(1) [Table: Sl. No. 8(iii)].



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(9) For the purposes of this section, -

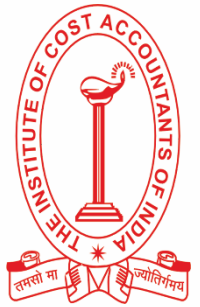
- (a) "beneficial owner", in respect of an asset means an individual who has provided, directly or indirectly, consideration for the asset for the immediate or future benefit, direct or indirect, of himself or any other person;
- (b) "beneficiary", in respect of an asset means an individual who derives benefit from the asset during the tax year and the consideration for such asset has been provided by any person other than such beneficiary;
- (c) "specified entity" means-
 - (i) research association referred to in Schedule III (Table: Sl. No. 23);
 - (ii) association or institution referred to in Schedule III (Table: Sl. No. 24);
 - (iii) person referred to in Schedule VII (Table: Sl. No. 2);
 - (iv) institution referred to in Schedule III (Table: Sl. No. 25);
 - (v) any University or other educational institution or any hospital or other medical institution referred to in Schedule VII (Table: St. Nov 17, 18 and 19);



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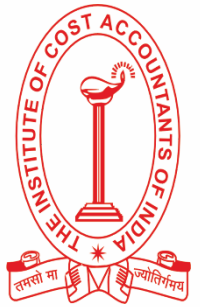
- (vi) Mutual Fund referred to in Schedule VII (Table: Sl. Nos. 20 and 21);
- (vii) securitisation trust referred to in Schedule III (Table: Sl. No. 26)
- (viii) Investor Protection Fund referred to in Schedule III (Table: SL. Nos 28 and 29);
- (ix) Core Settlement Guarantee Fund referred to in Schedule III (Table Sl. No. 30);
- (x) venture capital company or venture capital fund referred to in Schedule V (Table: Sl. No. 6);
- (xi) trade union or association referred to in Schedule III (Table: St No. 31);
- (xii) Board or Authority referred to in Schedule VII (Table: Sl. Nos. 33 and 40);
- (xiii) Body or Authority or Board or Trust or Commission (by whatever name called) referred to in Schedule III (Table: Sl. No. 36);
- (xiv) infrastructure debt fund referred to in Schedule VII (Table: Sl. No. 46);

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(d) "**specified laws**" shall refer to the Smugglers and Foreign Exchange Manipulators (Forfeiture of Property) Act, 1976 (13 of 1976), or the Prohibition of Benami Property Transactions Act, 1988 (45 of 1988), or the Prevention of Money-laundering Act, 2002 (15 of 2003), or the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 (22 of 2015).



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Updated Scheme for submission of returns through tax return preparers.

264. (1) The Board may make a Scheme for furnishing returns of income through a tax return preparer and such Scheme shall be notified, which-

(a) may enable any specified class or classes of persons in preparing and furnishing returns of income through a tax return preparer authorised to act as such under the Scheme;

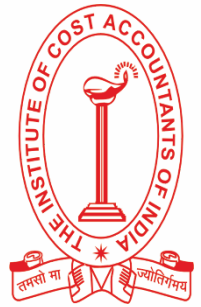
(b) may be made irrespective of provisions of section 263.

(2) For the purpose of this section,-

(a) "tax return preparer" means any individual, not being a person referred to in section 515(3)(a)(ii) or an employee of the "specified class or classes of persons", who has been authorised to act as a tax return preparer under the Scheme made under this section;

b) "specified class or classes of persons" means any person, other than a company or a person, whose accounts are required to be audited under section 63 or under any other law, who is required to furnish a return of income under this Act.

(3) Every notification for the Scheme under sub-section (1) shall be issued as per section 534 of this Act.

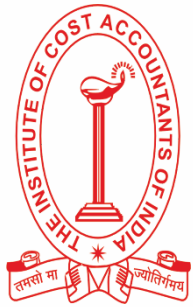


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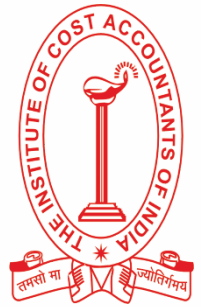
Tax on Updated Return Section 267

267. (1) Where no return of income under section 263(1) or (4) has been furnished by an assessee and, after taking into account the amounts referred to in sub-section (2), tax is payable on the basis of return to be furnished by such assessee under section 263(6), then-

- (a) the assessee shall be liable to pay such tax together with interest and fee payable under any of the provisions of this Act for any delay in furnishing the return or any default or delay in payment of advance tax;
 - (b) such tax, interest and fee shall be payable along with the payment of additional income-tax computed as per sub-section (5), before furnishing the return; and
 - (c) the return shall be accompanied by proof of payment of such tax, additional income-tax, interest and fee.
- (2) The amounts referred to in sub-section (1) shall be,-
- (a) the amount of tax, if any, already paid as advance tax;
 - (b) any tax deducted or collected at source;
 - (c) any relief of tax claimed under section 157;
 - (d) any relief of tax or deduction of tax claimed under section 159(1) or 160 on account of tax paid in a country outside India;



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- (e) any relief of tax claimed under section 159(2) on account of tax paid in any specified territory outside India referred to in that section; and
- (f) any tax credit claimed to be set off as per the provisions of sections 206(1)(m) to (p) and 206(2)(e) to (h).

(3) Where, return of income under section 263(1) or (4) or (5) (referred to as earlier return) has been furnished by an assessee and, after taking into account the amounts referred to in sub-section (4) [as increased by the amount of refund, if any, issued in respect of such earlier return], tax is payable on the basis of return to be furnished by such assessee under section 263(6) then-

- (a) the assessee shall be liable to pay such tax together with interest payable under any provision of this Act for any default or delay in payment of advance tax;
- (b) such tax, interest and fee shall be payable along with the payment of additional income-tax, as computed as per sub-section (5), as reduced by the amount of interest paid under the provisions of this Act in the earlier return, before furnishing the return; and
- (c) the return shall be accompanied by proof of payment of such tax, additional income-tax, interest and fee.



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(4) The amounts referred to in sub-section (3) shall be the following.-

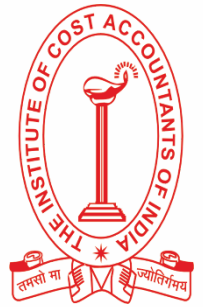
(a) the amount of relief or tax referred to in section 266(1), the credit for which has been taken in the earlier return;

(b) tax deducted or collected at source, as per the provisions of Chapter XIX-B, on any income which is subject to such deduction or collection and which is taken into account in computing total income and which has not been included in the earlier return;

(c) any relief of tax or deduction of tax claimed under section 159(1) or 160 on account of tax paid in a country outside India on such income which has not been included in the earlier return;

(d) any relief of tax

(e) any tax credit claimed, to be set off as per the provisions of sections 206(1)(m) to (p) and 206(2)(e) to (h) which has not been claimed in the earlier return.



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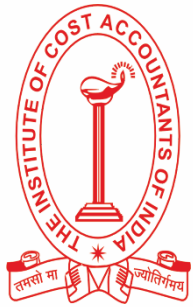
Levy of Additional Fees for filing of Updated Return

(5) For the purposes of sub-sections (1) and (3), the additional income-tax payable at the time of furnishing the return under section 263(6) shall be equal to,

(a) **25% of aggregate of tax and interest payable**, as determined in sub-section (1) or (3), as the case may be, if such return is furnished after expiry of the time available under section 263(4) or (5) and before completion of **twelve months from the end of the financial year succeeding the relevant tax year**; or

(b) **50% of aggregate of tax and interest payable**, as determined in sub-section (1) or (3), as the case may be, if such return is furnished after the expiry of twelve months but before completion of **twenty-four months from the end of the financial year succeeding the relevant tax year**; or

(c) **60% of aggregate of tax and interest payable**, as determined in sub-section (1) or (3), as the case may be, if such return is furnished after the expiry of twenty-four months, but before completion of **thirty-six months, from the end of the financial year succeeding the relevant tax year**; or



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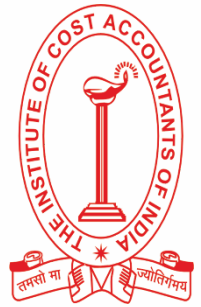
- (d) **70% of aggregate of tax and interest payable**, as determined in sub-section (1) or (3), as the case may be, if such return is furnished after the expiry of thirty-six months, but before completion of **forty-eight months, from the end of the financial year succeeding the relevant tax year**.
- (6) For the purposes of computation of "additional income-tax" under this section, tax shall include surcharge and cess, by whatever name called, on such tax.
- (7) Irrespective of anything contained in section 424(2), for the purposes of sub-section (3), interest payable under section 424 shall be computed on an amount equal to the assessed tax where, "assessed tax" means the tax on the total income as declared in the return to be furnished under section 263(6),-
- (a) after taking into account,-
 - (i) the amount of relief or tax referred to in section 266(1), the credit for which has been claimed in the earlier return, if any;
 - (ii) tax deducted or collected at source, as per the provisions of Chapter XIX-B, on any income which is subject to such deduction or collection and which is taken into account in computing such total income, which has not been included in the earlier return.

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- iii) any relief of tax or deduction of tax claimed under section 159(1) or 160 on account of tax paid in a country outside India on such income which has not been included in the earlier return;
- (iv) any relief of tax claimed under section 159(2) on account of tax paid in any specified territory outside India referred to in that section on such income which has not been included in the earlier return;
- (v) any tax credit claimed, to be set off as per sections 206(1)(m) to (p) and 206(2)(e) to (1), which has not been claimed in the earlier return; and
- (b) as increased by refund, if any, issued in respect of such earlier return.

(8) If any difficulty arises in giving effect to the provisions of this section, the Board may, with the previous approval of the Central Government, by notification, issue guidelines for the purposes of removing the difficulty.

(9) Every guideline issued by the Board under sub-section (8) shall be laid before each House of Parliament while it is in session for a total period of thirty days which may be comprised in one session or in two or more successive sessions, and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, both houses agree in making any modification in such guideline or both



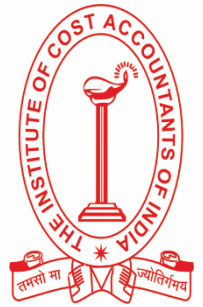
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Houses agree that the guideline, should not be issued, the guideline shall thereafter have effect only in such modified form or be of no effect, as the case may be; so, however, that any such modification or annulment shall be without prejudice to the validity of anything previously done under that guideline.

(10) For the purposes of this section,-

- (a) Interest payable under section 423, for the purposes of sub-section (1), shall be computed on the amount of tax on the total income as declared in the return under section 263(6), as per section 266(4);
- (b) interest payable under section 425, for the purposes of sub-section (3), shall be computed after taking into account the total income furnished in the return under section 263(6) as the returned income;
- (c) Interest payable, for the purposes of sub-section (5), shall be the interest chargeable under any provision of this Act, on the income as per return furnished under section 263(6), as reduced by interest paid, as per the earlier return, if any.

(11) For the purposes of sub-section (10)(c), the interest paid in the earlier return shall be nil in case of an updated return referred to in sub-section (1).



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Scheme for submission of returns through tax return preparers.

264. (1) The Board may make a Scheme for furnishing returns of income through a tax return preparer and such Scheme shall be notified, which-

(a) may enable any specified class or classes of persons in preparing and furnishing returns of income through a tax return preparer authorised to act as such under the Scheme;

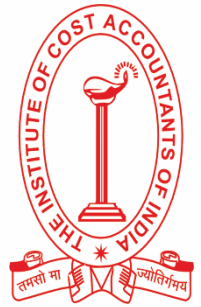
(b) may be made irrespective of provisions of section 263.

(2) For the purpose of this section,-

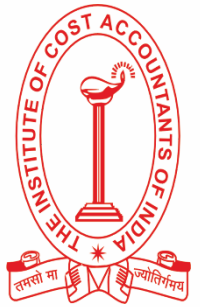
(a) "tax return preparer" means any individual, not being a person referred to in section 515(3)(a)(ii) or an employee of the "specified class or classes of persons", who has been authorised to act as a tax return preparer under the Scheme made under this section;

b) "specified class or classes of persons" means any person, other than a company or a person, whose accounts are required to be audited under section 63 or under any other law, who is required to furnish a return of income under this Act.

(3) Every notification for the Scheme under sub-section (1) shall be issued as per section 534 of this Act.



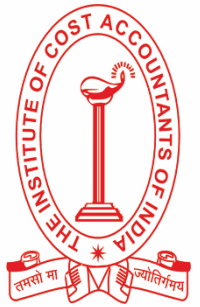
Chapter XV, b. Filing of Return of Income



Return by whom to be verified.

265. The return of income under section 263 required to be furnished by the person specified in column B of the Table below shall be verified by the person specified in corresponding entry in column C of the said Table:

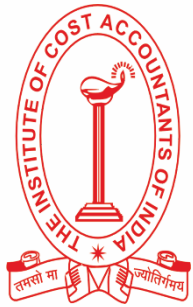




Sl. No.	Person furnishing return of income	To be verified
A	B	C
1	An individual	i) By the individual himself; (ii) where the individual is mentally incapacitated from attending to his affairs, by his guardian or any other person competent to act on his behalf; (iii) where, for any other reason, it is not possible for the individual to verify the return, by any person duly authorised by him through a valid power of attorney.
2	A Hindu undivided family.	(i) By the karta; (ii) where the karta is absent from India or is mentally incapacitated from attending to his affairs, by any other adult member of such family.



Chapter XV, b. Filing of Return of Income



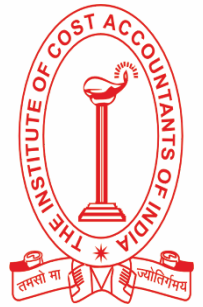
Sl. No.	Person furnishing return of income	To be verified
A	B	C
3	A company in cases other than those mentioned at serial numbers 4, 5, 6 and 7.	i) By the managing director of the company, (ii) where there is no managing director, or the managing director is not able to verify the return due to any unavoidable reason, by any director of the company or any other person as may be prescribed for verifying the return.
4	A company not being resident in India.	By any person holding a valid power of attorney from the company to do so.

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Chapter XV, b. Filing of Return of Income

Sl. No.	Person furnishing return of income	To be verified
A	B	C
5	A company which is being wound up by orders of the Court or otherwise, or where any person has been appointed as receiver of any assets of the company.	By the liquidator as referred to in section 322(1)
6	A company whose management has been taken over by the Central Government or any State Government under any law.	By the principal officer of the company.
7	A company, for which application seeking corporate insolvency resolution process has been admitted by the Adjudicating Authority under section 7 or 9 or 10 of the Insolvency and Bankruptcy Code, 2016 (31 of 2016).	By the insolvency professional appointed by such Adjudicating Authority, where- "Insolvency professional" and "Adjudicating Authority" shall have the same meanings as assigned to them respectively in sections 3(19) and 5(1)" of the Insolvency and Bankruptcy Code, 2016 (31 of 2016).



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Chapter XV, b. Filing of Return of Income



Sl. No.	Person furnishing return of income	To be verified
A	B	C
8	A firm.	(i) By the managing partner of the firm; (ii) where the managing partner is not able to verify the return due to any unavoidable reason, or there is no managing partner as such, by any partner of the firm, not being a minor.
9	A Limited liability Partnership	(i) By the designated partner of the limited liability partnership; (ii) where the designated partner of the limited liability partnership is not able to verify the return due to any unavoidable reason, or where there is no designated partner, by any partner of the limited liability partnership or any other person as may be prescribed for verifying the return.
10	A local authority	By the principal officer of the local authority.

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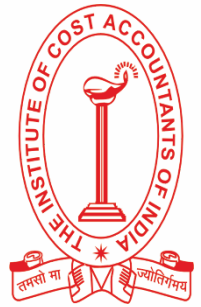
Chapter XV, b. Filing of Return of Income

Sl. No.	Person furnishing return of income	To be verified
A	B	C
11	A political party as referred to in section 263(1)(a)(iii).	By the chief executive officer of such political party (whether the chief executive officer is known as secretary or by any other designation).
12	Any other association	(i) By any member of the association; or (ii) by the principal officer of the association
13	Any other person.	(i) By the person himself, or (ii) by any person competent to act on his behalf.



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Chapter XV, b. Filing of Return of Income Rules



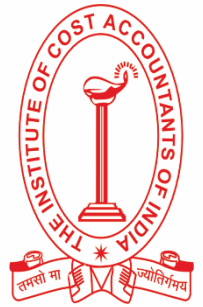
163. Conditions for furnishing return of income by persons other than a company or firm referred to in section 263(1)(a)(x) —

(1) The conditions required to be fulfilled in a tax year for the purposes of furnishing return of income in respect of a person other than a company or firm referred to in section 263(1)(a)(x), shall be the following :-

- (a) if he has deposited an amount or aggregate of the amounts exceeding one crore rupees in one or more current accounts maintained with a banking company or a co-operative bank; or
- (b) if he has incurred expenditure of an amount or aggregate of the amounts exceeding ₹ 2,00,000/- for himself or any other person for travel to a foreign country; or
- (c) if he has incurred expenditure of an amount or aggregate of the amounts exceeding ₹ 1,00,000/- towards consumption of electricity; or
- (d) if his total sales, turnover or gross receipts, as the case may be, in the business exceeds sixty lakh rupees; or



Chapter XV, b. Filing of Return of Income Rules



(e) if his total gross receipts in profession exceeds ten lakh rupees; or

(2) For the purposes of this rule, the expression —travel to a foreign country|| does not include travel to the neighbouring countries or to such places of pilgrimage as the Board may specify in this behalf, by notification.

164. Forms, eligibility, verification etc. in respect of return of income. —

(1) The return of income required to be furnished under section 263(1) or section 268(1)(a) or section 280, relating to the tax year commencing on the 1st April, 2026, shall be in accordance with the provisions of this rule.

(2) Subject to the provisions of sub-rule (3), return of income shall be in **Form SAHAJ (ITR-1)** and be verified in the manner indicated therein in the case of a person being an individual, who is a resident other than not ordinarily resident and where the total income includes income chargeable to income-tax, under the head -

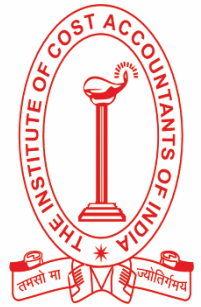
(a) "Salaries" or income in the nature of family pension as defined in section 93(1)(d); or

(b) "Income from house property", where the assessee does not own more than two house property and does not have any brought forward loss or loss to be carried forward under the head; or

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(c) "Income from other sources", except winnings from lottery or income from race horses and does not have any loss under the head; or

(d) —Capital gains||, where assessee has only long-term capital gains under section 198 not exceeding ₹ 1,25,000/- and does not have any brought forward loss or loss to be carried forward under the head.

Non eligibility for filing of ITR-1

(3) A person shall not be eligible to file ITR-1, if he —

(a) has assets (including financial interest in any entity) located outside India; or

(b) has signing authority in any account located outside India; or

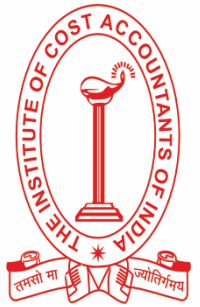
(c) has income from any source outside India; or

(d) has income to be apportioned in accordance with provisions of section 10; or

(e) has claimed deduction under section 93, other than deduction claimed under clause (d) of subsection (1) of the said section; or



Chapter XV, b. Filing of Return of Income Rules



- (f) is a director in any company; or
- (g) has held any unlisted equity share at any time during the tax year; or
- (h) is assessable for the whole or any part of the income on which tax has been deducted at source in the hands of a person other than the assessee; or
- (i) has claimed any relief of tax under section 159 or deduction of tax under section 160; or
- (j) has agricultural income, exceeding ₹ 5,000/- ; or
- (k) has total income, exceeding fifty lakh rupees; or
- (l) is a person in whose case tax has been deducted under section 393(3) [Table : Sl No. 5]; or

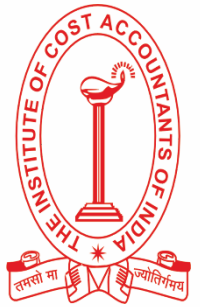


Chapter XV, b. Filing of Return of Income Rules

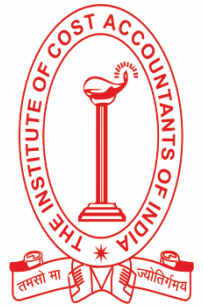
(m) is a person in whose case payment or deduction of tax has been deferred under section 391(2) or section 392(3); or

(n) has any income of the nature on which the tax is determinable as per the provisions of Part A of Chapter XIII of the Act.

(4) Return of income shall be in the case of a person being an individual not being an individual to whom sub-rule (2) applies or a Hindu undivided family, where the total income does not include income under the head business or profession, be **in Form No. ITR-2** and be verified in the manner indicated therein



Chapter XV, b. Filing of Return of Income Rules



(5) Subject to the provisions of sub-rule (6), return of income shall be in **Form SUGAM (ITR-4)** and be verified in the manner indicated therein, in the case of a person being an individual or a Hindu undivided family, who is a resident other than not ordinarily resident, or a firm, other than limited liability partnership firm, which is a resident, –

–

(a) deriving income under the head "Profits or gains of business or profession" and such income is computed in accordance with special provisions referred to in section 58 for computation of such income; and

(b) has, —Capital gains||, if any, where assessee has only long-term capital gains under section 198 not exceeding ₹ 1,25,000/-.



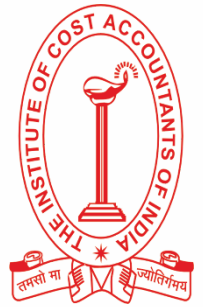
Chapter XV, b. Filing of Return of Income Rules

- A person cannot be eligible to file ITR-4 if-
 - (a) has assets (including financial interest in any entity) located outside India; or
 - (b) has signing authority in any account located outside India; or
 - (c) has income from any source outside India; or
 - (d) has income to be apportioned in accordance with provisions of section 10; or
 - (e) has claimed deduction under section 93, other than deduction claimed under clause (d) of subsection (1) of the said section; or
 - (f) is a director in any company; or
 - (g) has held any unlisted equity share at any time during the tax year; or
 - (h) has total income exceeds Rs.50 lac or
 - (i) owns more than two house properties, the income of which is chargeable under the head of Income from House Property or
 - (j) has any brought forward loss or loss to be carried forward under any head of income or

Chapter XV, b. Filing of Return of Income Rules

- (k) is assessable for the whole or any part of income under any head of income on which TDs was made in the hands of the person other than the assessee.
- (l) has claimed any tax relief U/s 159 of the Act or deduction of tax under Clause (d) of sub section (1) or
- (m) has agricultural income, exceeding ₹ 5,000/- ; or
- (k) has total income, exceeding fifty lakh rupees; or
- (n) has income of the nature as specified U/s 17(1)(d) on which tax is payable or deductible U/s 391(2) or under section 392(3) or
- (o) has any income of any nature on which tax is determinable as per Provision of Part A of Chapter XIII of the Act
- 7. The Return of Income shall be in Form No. ITR-3 and be verified in the manner indicated therein in the case of a person being an individual or a HUF other than the individual or HUF refer to in Sub rule (2) or Sub Rule (4) or (5) and having income under the head of Profits and Gains from Business or Profession
- 8. The return of income shall be in Form no. ITR-5 and be verified in the manner indicated therein in the case of a person not being an individual or a HUF or a company or a person to which Sub rule (10) applies

Chapter XV, b. Filing of Return of Income Rules



(9) The return of income shall be in Form No. ITR-6 and be verified in the manner indicated therein in the case of a company not being a company to which sub-rule (10) applies;

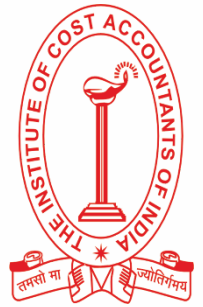
(10) The return of income shall be in Form No. ITR-7 and be verified in the manner indicated therein, in the case of a person including a company, whether or not registered under section 25 of the Companies Act, 1956 (1 of 1956) or section 8 of the Companies Act, 2013(18 of 2013) ,required to file a return under section 349 or Schedule VIII [Table :Sl. No. 1. D(f)] or section 263(1)(a)(iv) or (v).

(11) The return of income shall not be accompanied by a statement showing the computation of the tax payable on the basis of the return, or proof of the tax, if any, claimed to have been deducted or collected at source, or the advance tax, or tax on self-assessment, if any, claimed to have been paid, or any document or copy of any account or form or report of audit required to be attached with the return of income under any of the provisions of the Act.

(12) The return of income referred to in sub-rule (1) shall be furnished by a person mentioned in column 2 of the following Table in the manner specified in column 3 thereof:



Chapter XV, b. Filing of Return of Income Rules

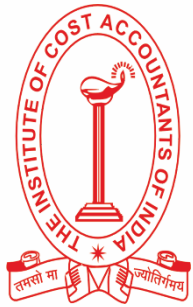


(13) For the purposes of sub-rule (12), "electronic verification code" means a code generated for the purpose of electronic verification of the person furnishing the return of income as per the data structure and standards specified by Principal Director General of Income-tax (Systems) or Director General of Income-tax (Systems).

(14) Where a return of income relates to the tax year commencing on the 1st April, 2025 or any earlier tax year, it shall be furnished in the appropriate form as applicable in that tax year.



Chapter XV, b. Filing of Return of Income Rules



Sl. No.	Person	Manner of furnishing return of income
1	2	3
1	Company	Electronically under digital signature.
2	Any person whose accounts are required to be audited under section 63	(a) Electronically under digital signature; or (b) transmitting the data electronically in the return under electronic verification code.
3	Any person other than person referred in Sl. Nos. 1, 2 and 4	(a) Electronically under digital signature; or (b) transmitting the data electronically in the return under electronic verification code; or (c) transmitting the data in the return electronically and thereafter submitting the verification of the return in Form ITR-V.

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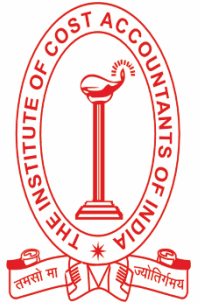
Chapter XV, b. Filing of Return of Income Rules

Sl. No.	Person	Manner of furnishing return of income
1	2	3
4	An individual of the age of eighty years or more at any time during the tax year, who furnishes return in Form No. SAHAJ (ITR- 1) or Form No. SUGAM (ITR-4)	(a) Electronically under digital signature; or (b) transmitting the data electronically in the return under electronic verification code; or (c) transmitting the data in the return electronically and thereafter submitting the verification of the return in Form ITR-V; or (d) paper form.



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Chapter XV, b. Filing of Return of Income Rules



Updated Return Rule 165, Section 267

165. Furnishing of updated return of income under section 263(6) read with sub-section (2) of said section. —

- (1) The return of income to be furnished by any person, eligible to file such return under section 263(6), shall be in the Form ITR-UN and be verified in the manner indicated therein.
- (2) ITR-UN shall be furnished by a person mentioned in column 2 of the following Table in the manner specified in column 3 thereof:

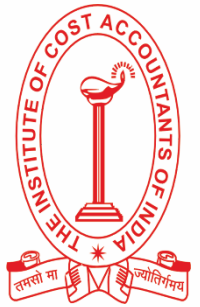


Chapter XV, b. Filing of Return of Income Rules

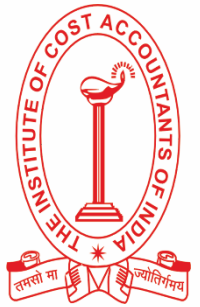
Defective return under section 263(7)

166. Conditions for treating a return as defective return under section 263(7). — (1) A return of income shall be regarded as defective, if any of the following conditions is satisfied: —

- (a) all fields, parts, schedules, statements, and columns in the return of income, as applicable to the case of the assessee, have not been duly filled in, including those relating to computation of income chargeable under applicable heads of income, computation of gross total income and total income; or
- (b) the report of the audit, in auditable cases, referred to in section 63, has not been furnished prior to the filing of the return of income; or
- (c) if the return of income is furnished under section 263(6), the details of payment of tax as per section 267 are not duly filled in the return; or



Chapter XV, b. Filing of Return of Income - Rules



(d) the brought forward credit of minimum alternate tax (MAT) or alternate minimum tax (AMT) claimed in the return is not in accordance with the carry forward of MAT or AMT in the latest return, as the case may be, allowed to the assessee.

(2) The Board may notify, the class or classes of persons, to which any of the conditions specified in clauses (a) to (d) of sub-rule (1), shall not apply or shall apply with such modifications, as may be specified in such notification.

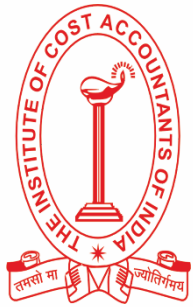


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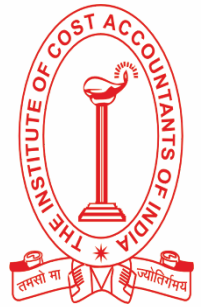
Return Forms

ITR Form No.	Applicability
ITR-1 (SAHAJ) Applicable only for Individual	person being an individual, who is a resident other than not ordinarily resident and where the total income includes Income under the head of Salary, House Property, Income from Other Sources and or except winnings from lottery or income from race horses and does not have any loss under the head; or income in the nature of family pension as defined in section 93(1)(d); or where the assessee does not own more than two house property and does not have any brought forward loss or loss to be carried forward under the head where assessee has only long-term capital gains under section 198 not exceeding ₹ 1,25,000/- and does not have any brought forward loss or loss to be carried forward under the head.

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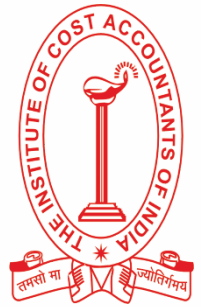
Return Forms

ITR Form No.	Applicability
ITR-1 (SAHAJ) Applicable only to Individual	Such person shall not be eligible to file ITR-1, if he — (a) Possesses assets (including financial interest in any entity) located outside India; or (b) has signing authority in any account located outside India; or (c) has income from any source outside India; or (d) has income to be apportioned in accordance with provisions of section 10; or (e) has claimed deduction under section 93, other than deduction claimed under clause (d) of subsection (1) of the said section; or (f) is a director in any company; or (g) has held any unlisted equity share at any time during the tax year; or (h) is assessable for the whole or any part of the income on which tax has been deducted at source in the hands of a person other than the assessee; or

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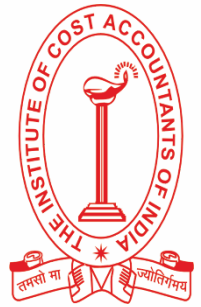
Return Forms

ITR Form No.	Applicability
ITR-1 (SAHAJ) applicable only to Individual	(i) has claimed any relief of tax under section 159 or deduction of tax under section 160; or (j) has agricultural income, exceeding ₹ 5,000/- ; or (k) has total income, exceeding fifty lakh rupees; or (l) is a person in whose case tax has been deducted under section 393(3) [Table:SI No. 5]; or (m) is a person in whose case payment or deduction of tax has been deferred under section 391(2) or section 392(3); or (n) has any income of the nature on which the tax is determinable as per the provisions of Part A of Chapter XIII of the Act.
ITR-2 applicable to Individual and HUF only	Covering any Income Other than Income covered under the head of Profits & Gains from Business or Profession

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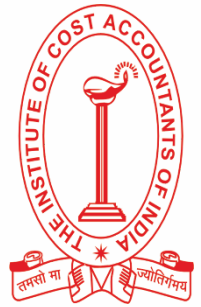
Return Forms

ITR Form No.	Applicability
ITR-3 applicable for individual and HUF	Covering any Income covered under the head of Profits & Gains from Business or Profession for Individual and HUF
ITR-4 applicable for individual, HUF and Partnership Firm not LLP	For such persons availing presumptive income U/s 58 only but if possesses any Capital gains U/s 198 should be restricted to Rs.1,25,000/- P.A. and also full restrictions imposed as under. (a) has assets (including financial interest in any entity) located outside India; or (b) has signing authority in any account located outside India; or (c) has income from any source outside India; or (d) has income to be apportioned in accordance with provisions of section 10; or (e) has claimed deduction under section 93, other than deduction claimed under clause (d) of subsection (1) of the said section; or

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Return Forms

ITR Form No.	Applicability
ITR-4 applicable for Individual , HUF and Partnership Firm not LLP	(f) is a director in any company; or (g) has held any unlisted equity share at any time during the tax year; or (h) has total income exceeds Rs.50 lac or (i) owns more than two house properties, the income of which is chargeable under the head of Income from House Property or (j) has any brought forward loss or loss to be carried forward under any head of income or
ITR-5 for Partnership Firm and LLP	For Partnership Firm having not covered ITR-4 and LLP, where the head of Income is absolutely immaterial

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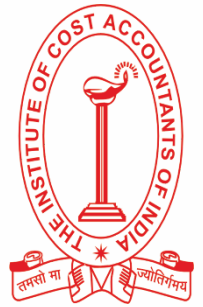


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Return Forms

ITR Form No.	Applicability
ITR-6 for limited Companies	For Companies having objects to earn profit
ITR-7	For Persons having income without any object to earn profit such as NGO, Trust and Political parties whose income is derived from property held for charitable or religious purposes or other specific statutory sources. for the specialized income tax return form It is mandatory for entities claiming tax exemptions under Sections 263(1)(a)

Chapter XV, b. Filing of Return of Income Rules



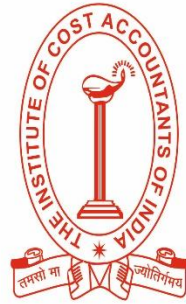
Defective return under section 263(7)

166. Conditions for treating a return as defective return under section 263(7). — (1) A return of income shall be regarded as defective, if any of the following conditions is satisfied: —

- (a) all fields, parts, schedules, statements, and columns in the return of income, as applicable to the case of the assessee, have not been duly filled in, including those relating to computation of income chargeable under applicable heads of income, computation of gross total income and total income; or
- (b) the report of the audit, in auditable cases, referred to in section 63, has not been furnished prior to the filing of the return of income; or
- (c) if the return of income is furnished under section 263(6), the details of payment of tax as per section 267 are not duly filled in the return; or



Thank You



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